

13 Product Recall and Missed Interest Payment

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Prepared by fictional borrower operations and treasury team | Borrower: YETI Demo Outdoor Products LLC

SYNTHETIC DEMO. This severe event is entirely invented for YETI Demo Outdoor Products LLC. It is not a real incident involving YETI Holdings, Inc.. There is no asserted affiliation or guarantee; all evidence IDs, figures and statements below are fictional.

E01 Incident and operating evidence

Quality incident YETI-QA-0405 concerns an invented high-volume outdoor-products family. Independent laboratory testing received April 5 found manufacturing contamination in sampled units. Management immediately halted shipments of the affected lots and initiated a recall. The affected family had represented 70% of the fictional Borrower's sales during the prior three months. This report describes no real YETI product, SKU, recall or regulator action.

Three wholesale customers delivered cancellation notices April 7-9 covering \$18.0m of unshipped orders. These were future orders, not recognized sales or receivables; their cancellation is not a second write-off of recorded revenue. The customers require independent clearance before placing replacement orders. No clearance had been received by May 10, and the replacement-production window was not expected before July.

April net sales were \$4.0m and landed cost of units sold was \$3.8m, giving gross profit of \$0.2m and gross margin of 5.00%. A separate \$8.0m carrying value of quarantined, owned inventory was written down to zero on April 30 because management found no saleable recovery route. That noncash inventory loss is reported separately from the \$3.8m cost of sold units. The existing \$5.0m supplier advance remains outstanding and is separate from the owned inventory and bank cash.

Observed scale

Measure	Verified scenario observation
Affected product family	70% of prior three-month sales
Canceled unshipped orders	\$18.0000m; not previously recognized revenue
April gross margin	$(\$4.0000m - \$3.8000m) / \$4.0000m = 5.00\%$
Owned inventory written down	\$8.0000m noncash loss

Bank and payment status

The loan payment ledger shows \$375,000 due April 30 and still unpaid at the May 10 close. This unpaid interest is excluded from completed cash payments in the bridge. Total May 10 cleared deposits are \$2.1000m, including the unchanged \$2.0000m restricted reserve, leaving \$0.1000m freely available. Principal remains \$50.0m. No signed payment extension, emergency loan draw or owner contribution is recorded.

The April bank reconciliation and payment exception were recorded as delivered in the fictional lender portal on May 3 at 10 am. The April sales and cost schedule was finalized May 7. This May 11 report confirms that the interest remains unpaid and the sales suspension continues.

E02 Certified bank position - USD millions

The fictional Borrower CFO certifies this reconciliation as of 2027-05-11, using the bank statements for the exact dates shown. Each balance is cleared USD legally owned by the named Borrower. The certification covers all its bank accounts. Only the stated restricted reserve is unavailable; there is no additional pledged, blocked or third-party cash included in the freely available column.

Statement date	Total cleared bank cash	Restricted reserve	Freely available cash
2027-03-31	11.2500	2.0000	9.2500
2027-04-30	2.1500	2.0000	0.1500
2027-05-10	2.1000	2.0000	0.1000

The CFO and treasury controller confirmed that receivables, inventories, supplier advances, other entities' money and undrawn commitments are excluded. This is a signed-role attestation within the fictional simulation; no real person signs it. The certification does not state that the balance satisfies the credit agreement.

Actual cash movement ledger

This bridge begins with the last actual cash balance in report 12. It uses cleared receipts and payments rather than revenue, inventory or expected recoveries. Closing rows are subtotals, not additional cash movements.

Period or date	Cash movement / balance	Treasury record
2027-03-31	9.2500	Starting freely available cash from report 12
April	2.0000	Cleared customer receipts
April	-4.3000	Ordinary operating, tax and routine capital payments
2027-04-30	-2.4000	Previously deferred supplier payment, paid once
April	-3.5000	Recall collection, transport, handling and disposal
April	-0.9000	Emergency inspection and containment contractors
2027-04-30	0.1500	Closing freely available cash
May 1-10	0.4000	Cleared customer receipts
May 1-10	-0.4500	Essential operating payments
2027-05-10	0.1000	Latest freely available cash

Cash records YETI-RECALL-APR support \$3.5m paid for recall logistics and disposal, plus \$0.9m for inspection and containment. These are cash payments distinct from the \$8.0m inventory write-down. The \$4.3m ordinary-payment line includes \$0.55625m cash tax and \$0.1m routine capital expenditure. The earlier \$5m supplier prepayment is already reflected in the March starting cash and is not deducted again.

E03 Payment records and reproduced confirmations

The following records concern YETI Demo Outdoor Products LLC only. All excerpts are synthetic primary-record content reproduced inside this report; their reference IDs do not point to missing attachments. Each custodian's record date is on or before the report's availability date. Monetary ledger amounts are USD millions.

Obligation	Scheduled date	Amount due	Cash settled	Unsettled amount
March interest	2027-03-31	0.3750	0.3750	0.0000
April interest	2027-04-30	0.3750	0.0000	0.3750

Scenario Lender Y01 extracted the interest receivable ledger at 6 pm May 10. The March receipt settled March 31. The April item has no receipt, offset or revised due date. The borrower controller matched it to the outgoing-bank ledger. The \$2.4m supplier transfer settled April 30; it was not a loan-interest payment.

Record YETI-QA-0510

Custodian and dating: fictional quality lead; testing and shipment-control records through May 10; issued May 10. Material statement reproduced below from the fictional record.

"Shipments of the affected product family remain suspended, with no independent clearance received as of May 10, 2027."

Record YETI-LENDER-0510

Custodian and dating: Scenario Lender Y01 receivables controller; May 10 closing ledger; received May 11 at 9 am. Material statement reproduced below from the fictional record.

"April interest of \$375,000 remained unpaid at the close of May 10, 2027."

Record YETI-SUP-0507

Custodian and dating: fictional supplier account director; issued and received May 7. Material statement reproduced below from the fictional record.

"We offer replacement production no earlier than July and have not committed to a cash refund."

Record YETI-ORDERS-0409

Custodian and dating: borrower sales controller; notices received April 7-9; reconciled April 9. Material statement reproduced below from the fictional record.

"The three cancellation notices total \$18,000,000 of unshipped orders, with no receivable previously recorded."

E04 Underlying operating schedules

The records below provide the measured populations and accounting components behind the event. They are observations of the fictional Borrower, not an industry survey or another company's finances.

Underlying register item	Measured components	Result
April net sales	Posted invoice register YETI-SALES-APR	USD 4.0000m
Landed COGS on sold units	Cost journal YETI-COST-APR	USD 3.8000m
Gross profit	4.0000 less 3.8000	USD 0.2000m
Gross margin	0.2000 / 4.0000	5.00%
Recall lot A	100,000 owned units x USD 30 cost	USD 3.0000m
Recall lot B	100,000 owned units x USD 25 cost	USD 2.5000m
Recall lot C	100,000 owned units x USD 25 cost	USD 2.5000m
Separate inventory loss	3.0000 + 2.5000 + 2.5000	USD 8.0000m
Wholesale customer W01	Unshipped order canceled April 7	USD 8.0000m
Wholesale customer W02	Unshipped order canceled April 8	USD 6.0000m
Wholesale customer W03	Unshipped order canceled April 9	USD 4.0000m

The three recall lots are fictional identifiers and do not correspond to real YETI products. The inventory controller certified ownership, quantities and carrying costs at April 30. All 300,000 units were quarantined and assigned zero realizable value. Their \$8.0m carrying value is outside the \$3.8m cost of units sold; no unit appears in both populations. The separate \$5m supplier advance has not converted to owned inventory.

The prior-three-month sales register records \$50m total net sales, of which \$35m came from the affected product family: 70%. The cancellation amounts above concern unshipped orders only. No canceled order is simultaneously counted as April revenue, an existing receivable loss or a cash refund. April cash collections were \$2m; they are not interchangeable with the \$4m recognized sales figure.

Each customer notice conditions replacement orders on independent product clearance. Neither a signed substitute order nor such clearance is in the May 10 sales file. Other product families remain saleable. Future sales estimates allow their receipts and gradual recovery, without treating affected inventory as a cash source.

Operating process review

Quality review YETI-QCTRL-0506 found that lot-release files for all three recalled lots contained supplier attestations but no independent contamination test before shipment. The April 5 laboratory result was the first independent test in those files. No alternate independently qualified producer had completed onboarding by May 10. Management has suspended the affected shipments; the approved timetable does not yet specify when independent clearance will be obtained.

E05 Funding constraints and dated forecast

The separate \$2.4m April supplier payment has been made; no additional deferral or refund funds the forecast. The supplier has offered future replacement production but no cash reimbursement date. Neither the \$5m supplier advance nor the written-down goods can pay current bills. No insurer has accepted a cash payment amount or date. There is no committed rescue financing. The earliest dated payroll and containment payments total \$2.0m during May 11-14.

Thirteen-week funding schedule - forecast, USD millions

Starting freely available cash is \$0.1000m as of 2027-05-10. Each period's receipts less scheduled payments are added to the prior funding position. Positive values indicate projected residual cash. Negative values indicate cumulative external funding needed to make all listed payments; they are not actual negative bank balances. No financing plug, new debt or uncommitted rescue proceeds are inserted.

Week ending	Expected receipts	Scheduled payments	Net funding position
2027-05-14	0.3000	2.3750	-1.9750
2027-05-21	0.4000	1.2000	-2.7750
2027-05-28	0.5000	1.5750	-3.8500
2027-06-04	0.6000	1.2000	-4.4500
2027-06-11	0.6000	1.2000	-5.0500
2027-06-18	0.7000	1.2000	-5.5500
2027-06-25	0.7000	1.2000	-6.0500
2027-07-02	0.8000	1.5750	-6.8250
2027-07-09	0.8000	1.2000	-7.2250
2027-07-16	0.9000	1.2000	-7.5250
2027-07-23	1.0000	1.2000	-7.7250
2027-07-30	1.0000	1.5750	-8.3000
2027-08-06	1.1000	1.2000	-8.4000

The first forecast week includes the already-unpaid \$0.3750m April interest once. Later monthly interest is included in the budgeted payment weeks; the schedule does not claim those payments have occurred.

The receipts schedule includes surviving product sales and limited gradual recovery only. There are no assumed proceeds from the \$8m inventory loss, the \$5m supplier advance, insurance or a rescue loan. Scheduled payments include the April interest arrears once, later monthly interest, wages, essential transport and containment. The completed \$2.4m April supplier payment is not repeated.

No insurer, supplier refund, inventory disposal proceeds or new debt is included as a rescue receipt. A return to normal production is not assumed during the initial shutdown weeks.